

Benchmark Rates Reform: Impact on FRTB

FRTB Recap

- Sets out new capital requirements for market risk
- Aimed at addressing shortfalls and increasing consistency
- New requirements released in January 2019, with a 1 January 2022 go live
- There is a standardized approach and an internal models approach
- The use of internal models approach requires supervisory authority approval generally and at a trading desk level
- Risk factors must pass the risk factor eligibility test [RFET] to be included in the bank's internal expected shortfall [ES] model
- Otherwise stressed expected shortfall model is applied, which is more capital intensive

RFET Requirements

Previous (2007)	Latest (2009)
At least 24 real price observations per year Maximum 1 month between observations	At least 24 real price observations per year No 90 day period with fewer than 4 observations
	OR At least 100 real price observations over the previous 12 months

- Real prices
 - A price at which the institution has conducted a transaction
 - A verifiable price for an actual transaction between other arm's length parties
 - Price obtained from a committed quote
 - Price obtained from 3rd party vendor that meets one of the above
- Bucketing must be considered

Impacts of Benchmark Rates Reform

- As the market transitions from trading instruments referencing LIBOR to the new benchmark rates there could be 2 impacts on real price observations:
 1. Will trading against the new benchmarks be of sufficient volume in time?
 2. Will trading against LIBOR be of sufficient volume for long enough?
- Lack of historical data will limit banks' ability to calibrate new benchmarks to a period of stress
 - A subset of the ES risk factors, representing at least 75% of ES, needs to be stressed back to at least 2007
 - As portfolios have more risk to new benchmarks, there may not be enough risk factors with sufficient history to cover 75%

Mitigating Factors and Options

- Timing is a likely mitigating factor, with FRTB going live in 2022
- This gives time for markets to develop for new benchmarks and for trades to be migrated away from LIBOR
- However, there remains a risk that things to not progress at the expected pace
- Additionally, there are some sections in the new standard that allow for some leeway such as
 - “A bank may use proxies for which there is an appropriate track record...”
 - “...a bank may add modellable risk factors, and replace non-modellable risk factors by a basis between these additional modellable risk factor and these non-modellable risk factors.”
 - “There may ... be a valid reason why a significant number of modellable risk factors across different banks may become non-modellable due to a widespread reduction in trading activities ... One possible supervisory response could be to consider as modellable a risk factor that no longer passes the RFET.”